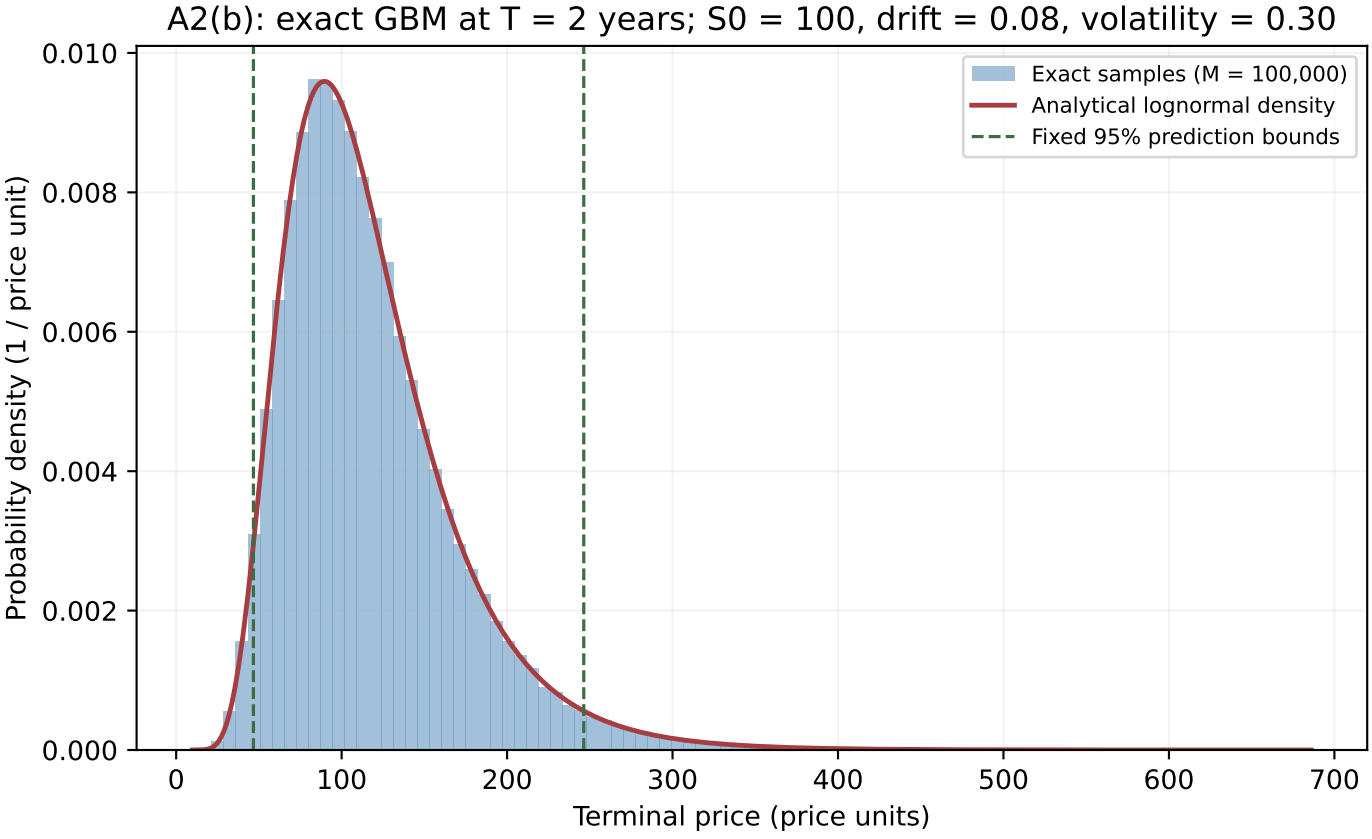
A2(b): exact GBM at T = 2 years; S0 = 100, drift = 0.08, volatility = 0.30
Exact samples (M = 100,000)
Analytical lognormal density
Fixed 95% prediction bounds
Probability density (1 / price unit)
0.010
0.008
0.006
0.004
0.002
0.000
0
100
200
300
400
500
600
700
Terminal price (price units)